Australian disability claims experience
What can we learn?

Andy Parkinson, Swiss Re Head of L&H Claims UKIA
26 November 2015

Agenda

- Symptoms
- Causes
- Lessons

Symptoms
- What happened?

Australian Super Funds

- Superannuation Funds i.e. saving for retirement
- Primarily investment arrangement, with default minimum insurance benefits with the option of higher cover:
  - Death and accelerated TPD cover
  - Terminal Illness
  - Income Protection
- Open to:
  - Public service workers
  - White collar
  - Education
  - Health
  - Government employees
  - Police
  - Blue collar
  - Mine workers
  - ...lots!

The headlines

Millions face super premium sting

By John Collett May 28, 2013, 2:12 p.m.

The cost of cover is going up. Photo: Tamara Voninski

The Sydney Morning Herald: John Collett, 28 May 2013

- *AustralianSuper´s 2 million members to face increased premiums:*
  - *almost 40% for death and TPD*
  - *about 25% for IP*
  - *most premiums deducted automatically from fund balance*

- *More price rises expected as funds renegotiate prices with their insurers*

- *Why? – Jim Minto, managing director of TAL Australia:*
  - *more claims, economy remains weak, unemployment rises*

APRA Quarterly Financial Results

(AUD$ millions)

Date	Group Lump Sum Risk
	Profit / loss before tax
Mar-13	14
Jun-13	-187
Sep-13	-185
Dec-13	-296
Mar-14	-11
Jun-14	-5
Sep-14	36

Date	Individual Disability Income
	Profit / Loss Before Tax
Mar-13	68
Jun-13	93
Sep-13	-84
Dec-13	-34
Mar-14	15
Jun-14	-280
Sep-14	16
Dec-14	-432
Mar-15	-166

- Availability of (re)insurance cover at risk

Causes
- the accumulation of risk

Claims management

Product design

Industry / environment

Data / management information

Protection market growth & changing economic climate

- Consolidation of funds
- Difficult for Funds to compete on investment return
- Insurance benefits seen as an area for differentiation, resulting in :
  - higher levels of default cover
  - generous options to increase cover without underwriting
  - range of cover available to a wider occupation group
- Key vehicle for addressing Australia's underinsurance problem
- $3.7 billion premium at March 2013, risen from $2.4 billion in 2009
- Inforce growth 11% per annum

'Typical' default benefits (1 unit)

- Life, plus accelerated TPD (and terminal illness)
- Fixed unit price with cover varying based on current age
- For example, age 35, gender neutral pricing
  - Standard Risk $50,000
  - Low risk $85,000
  - Professional $100,000
- Group Salary Continuation (IP cover)
  - 2 year benefit, 60 day deferred period (option of 30 day)
  - Pays on total disability or partial disability (totally sick for at least 14 days)
    - $500 per month
    - up to 40 units no health evidence, to 100 units with evidence

‘Typical’ TPD definition

- Unable to work for 3 consecutive months and unlikely to ever be able to engage in "any occupation".
- If you are professional or managerial (i.e. salary > $80k; 80% of employment sedentary tasks in an office) then "any occupation" = "own"
- For all others "any" = "occupation based on your skills and knowledge acquired through previous education, training and experience".
- Above applies to the employed and those unemployed for less than 12 months.
- Work tasks applies to other lives.
- Loss of limbs and certain medical conditions presumed to count as disability.

- Similar definitions apply to the income protection benefit.

Product design

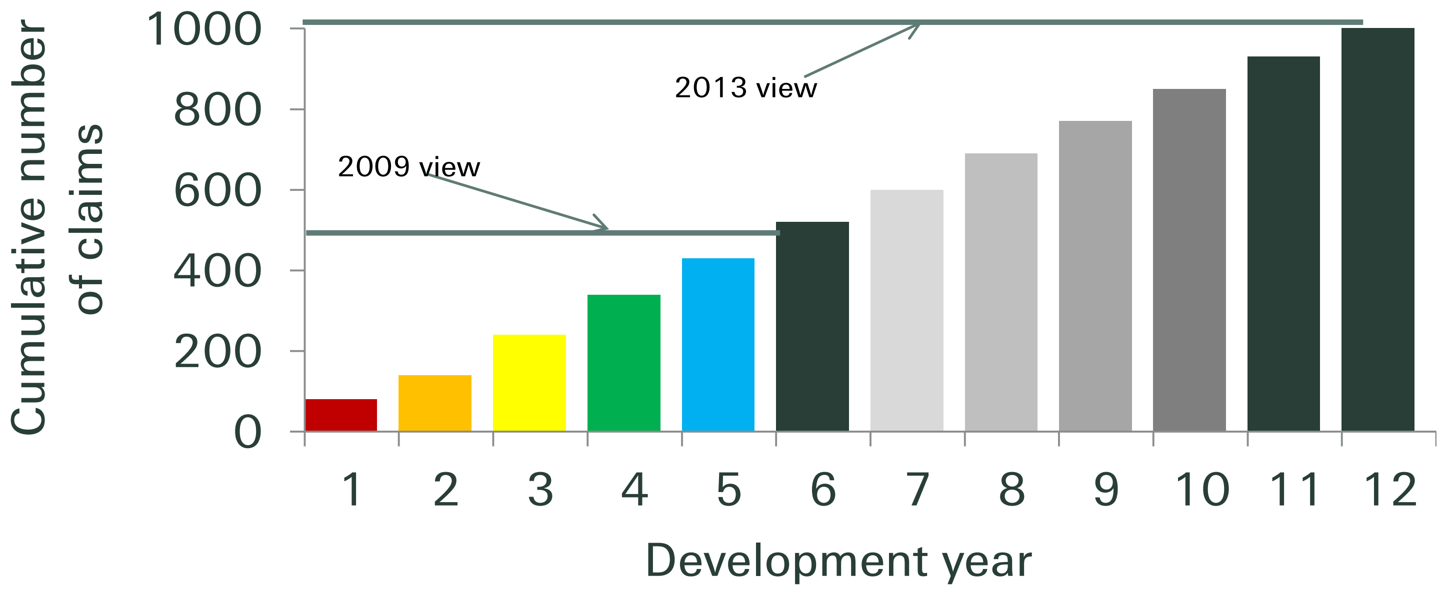
- Cover for all
- Occupation-based definition for all
- "Unlikely, ever"
- Education training and experience (ET&E)
- 3-6 month waiting period v optimal treatment
- Cover remains when contributions cease
- Non-underwritten, generous increases
  - 26% of all claims were for PECs
  - 34% of claimants who opted for higher cover were claiming for PECs
- Imprecise wording on date of insured event

Swiss Re Head of L&H ANZ

"...a arket, I was bus elt as thou ur had ecome a lot

2012/2013 quoting cycle

- Significantly more claims than expected
- Cost of claims much higher than expected
- Late reporting of claims



Lots of "parties" ..!

Industry / environment

- Abundance of Super
- Funds have buying power
- Legislation
- Consumer awareness/behaviour
- Unions
- Solicitors
- Case law
- Broker advice to 'poor risks'
- Medical professionals:
  - Zahr v TAL Life Ltd – *"After years of consultations [Dr Smith] has become the plaintiff's loyal advocate rather than his inquisitor."*

Fight For Fair

Stand Up For Your Rights

No Win, No Fee

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Claims management

- Late start
- Shortage of industry best practice
- Many parties; long delays
- Shortage of skilled claims assessors
- No direct member contact
- Solicitor input
- Claims toolkit – objective challenge
- Workers Comp process
- "Hands tied“

Lessons
- and what´s happened since?

- *"Never let a good crisis go to waste."* – Winston Churchill

Australian Prudential Regulation Authority 2015 annual report: *review of insurance in superannuation*

- The industry has made substantial progress.

  However, still identified need for…

  - improved insurance data management; detailed, accurate and timely
  - greater scrutiny of insurance benefit design to ensure sustainability and its appropriateness for members

- Ongoing work of the IFF (Industry Fund Forum) and FSC (Financial Services Council) to address market issues around data and benefit design
- Retail disability market still under-priced and products too generous?

Actions taken

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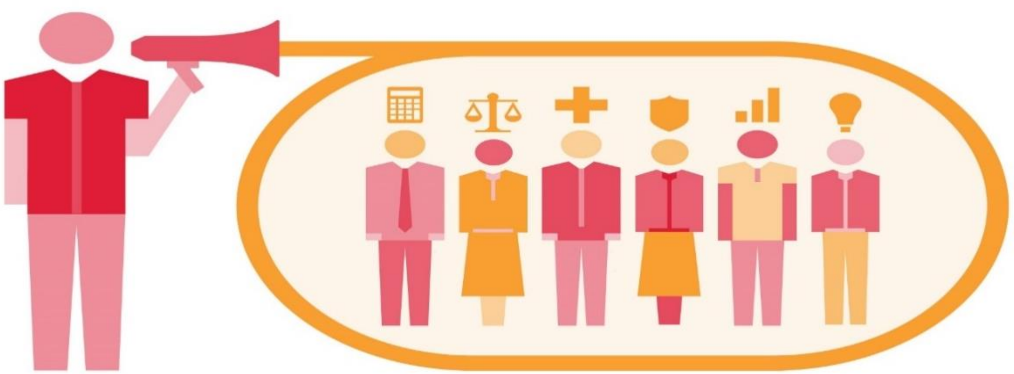
- Underwritir ugh option dial-ups
- Claims tear and specialist c
- Growth of i
- Protocols tc nent strategies

- Holistic portfolio view to enhance understanding of claim drivers

Self-analysis

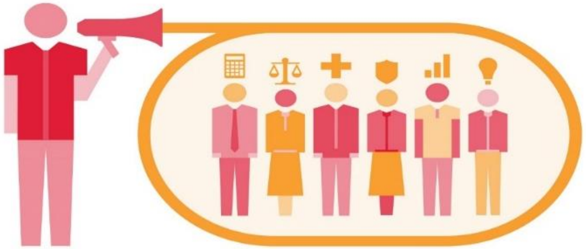
- Pressure for new, innovative products in a competitive market.
- What evidence is there this will be a problem? Prove it.
- People don't and wouldn't behave like that.
- Consumer focussed regulatory environment.
- Claims can manage that risk, can't they?
- Our competitor does it and so...

...sound familiar?



Self-analysis

- Do we have products with the potential for late reported claims?
- Do we really have enough data to price correctly?
- Do we properly allow for the risk of anti-selective behaviour?
- Is there an alignment of interest between the customer and insurer? Do we encourage 'poor' behaviours?
- How vulnerable are we to other professions and 'consumer group' behaviour?
- Do underwriters, actuaries and claims work together sufficiently?
- Are we investing enough in the capability of our claims teams?



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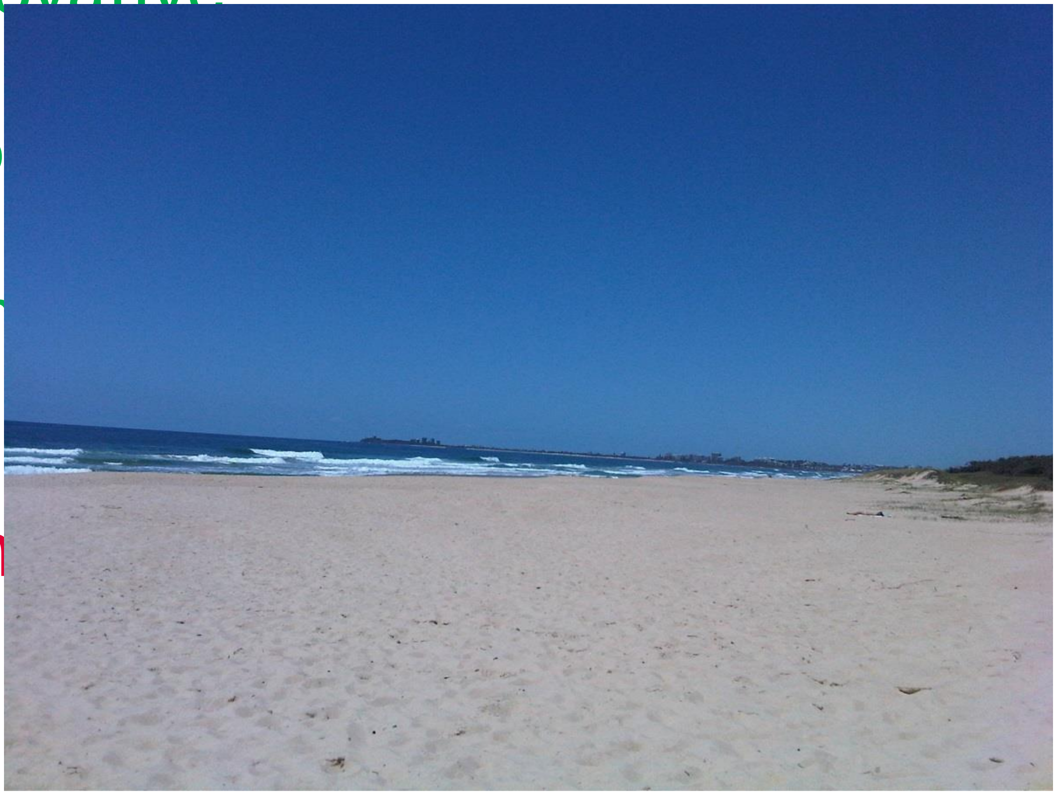

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